MONEYRULES SERIES

Buy-to-Let Profit Guide

How UK Rental Property Really Makes Money

Yields, mortgages, tax and the numbers that decide whether a deal is worth it.

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The Two Ways Property Pays

Rental property earns in two ways: monthly rental income (cash flow) and long-term growth in the property value (capital appreciation). A good deal stacks up on cash flow today, with growth as the bonus — never the other way around.

> **Buy on the numbers, not on the dream.**
> **If it does not cash-flow, it is a liability, not an asset.**

Know Your Yields

Metric	Formula	Healthy range
Gross yield	Annual rent / property price	5%-8%+
Net yield	(Rent - costs) / price	3%-6%+
ROI	Annual profit / cash invested	8%-15%+

Gross yield is the headline; net yield is the truth. Always work out net yield after mortgage interest, insurance, management, maintenance and void periods.

The Costs Beginners Forget

- **Stamp Duty — including the surcharge on additional properties.**
- **Mortgage arrangement & broker fees.**
- **Letting agent fees (typically 8-12% of rent if fully managed).**
- **Maintenance & a sinking fund for big repairs (boiler, roof).**
- **Void periods — budget for roughly one month empty per year.**
- **Landlord insurance, gas/electrical safety certificates, EPC.**

The Tax Reality (Section 24)

Since the "Section 24" changes, individual landlords can no longer deduct mortgage interest from rental income before tax — instead you get a 20% tax credit. For higher-rate taxpayers this is a big deal, and it is why some landlords hold property through a limited company. Always take professional advice before buying.

> **Run every deal through the numbers AFTER tax.**
> **A good gross yield can be a loss-maker after Section 24.**

Your First-Deal Checklist

IncomeOnline Case Study

A Leeds terraced house bought for £120,000 lets for £825/month — a 8.25% gross yield. After mortgage interest, management, insurance and a void allowance, the net yield lands near 4.5%: a solid, real-world deal that stacks up on cash flow, not hope.

Action Checklist

- **Set your strategy: cash flow, growth, or both.**
- **Pick an area with strong rental demand and realistic prices.**
- **Calculate gross AND net yield before viewing.**
- **Get a mortgage agreement in principle.**
- **Stress-test the deal: +2% interest, 2 months void — does it still work?**
- **Budget all the costs above, then make your offer on the numbers.**

Thank you for reading.

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